📘 QBO Month-End Close — Training Guide

Using Double for Close Management

💻 PHASE 1: Set Up Your Double Close

1. Log into Double and find your client on the Dashboard
2. If you don't have access to the client you're wanting to close, reach out to the operations team for access.
3. Confirm you're working on the correct accounting period *(shown in upper-left corner)*

   If you need to start a new month: click the accounting period → **"Start [Month] Close"**

4. Complete the **"Review Balance Sheet for New Accounts"** task:
   - Scroll to the bottom of the Balance Sheet Support section
   - Click **"+ Task"** → **"Add All Balance Sheet Accounts"**
   - If new accounts appear → click **Save**
   - If nothing appears → click **Cancel** — you're good!
5. Review your assigned pre-close tasks and complete them
6. For training as it relates to to double please see Double Process Doc for step by step instructions and videos.

✅ *Checkpoint: New accounts reviewed, pre-close tasks done? Move on.*

📅 PHASE 2: Weekly Maintenance *(Do This Every Week Throughout the Month)*

Staying on top of transactions weekly makes month-end close significantly faster. Set aside time each week to do the following:

Coding Transactions:

1. Log into QBO → go to **Banking**

2. Select the correct account

3. Work through any new items under **"For Review":**

- **Match** — confirm QBO's suggestion is correct, then accept
- **Add** — categorize using history and your best judgment
- For checks: log into the bank to view the check image, identify the vendor
- Set up **bank rules** whenever you see a recurring transaction

4. For anything you can't figure out → add to the **Transaction Questions list**

- Set "Who" = the vendor
- Set "What" = **Ask My Accountant**

💡 **Why do this weekly?** The more you code throughout the month, the less you have to do at close. By month-end, you should only have a handful of items left to review rather than an entire month's worth.

💡 We should never be cash coding deposits. They should *always* be matched to an invoice. If we are responsible for matching deposits to invoices. We should know with 100% certainty that we are matching deposits correctly. If we cannot be 100% accurate at matching the deposit, then we should ask the client which payment it should be applied to. If this is happening frequently, then we should develop a new process for applying deposits.

✅ *Checkpoint: Transactions coded for the week? Check back next week.*

💼 PHASE 3: Payroll Journal Entries *(Do This After Each Payroll Run)*

If you are manually booking payroll journal entries, these do not need to wait until month-end close. Book them after each payroll run so they are already in the system by the time you close.

1. After each payroll run, pull the payroll report from the payroll provider
2. Book the journal entry in QBO to record payroll expenses
3. Confirm the payroll clearing account balance reflects the new entry
4. Leave a comment in Double on the relevant balance sheet account

💡 **Note:** Payroll journal entries are tied to each pay run. Book them as each run occurs throughout the month so there's nothing left to do at close.

💡 **Note:** If the company has 24 pay periods a year you likely do not need to book a payroll accrual. If there are 26 payroll periods you will need to book an accrual. You should follow the process below in accordance with the Upsourced standard procedure:

- INSERT PROCESS FOR PAYROLL ACCRUAL
- INSERT PROCESS FOR PAYROLL CLEARING ACCOUNT PHILOSOPHY

✅ *Checkpoint: Journal entry booked after each payroll run? You're set until the next one.*

🏦 PHASE 4: Review & Categorize Remaining Transactions in QBO

By month-end, most transactions should already be coded from your weekly maintenance. This phase is just to catch anything remaining.

1. Log into QBO → go to **Banking**
2. Select the correct account
3. Work through any remaining items under **"For Review":**
    - **Match** — confirm QBO's suggestion is correct, then accept
    - **Add** — categorize using history and your best judgment
    - For checks: log into the bank to view the check image, identify the vendor
    - Set up **bank rules** whenever you see a recurring transaction **4.** For anything you can't figure out → add to the **Transaction Questions list**
    - Set "Who" = the vendor
    - Set "What" = **Ask My Accountant 5.** Flag any uncleared checks older than **60 days** → escalate to Controller

✅ *Checkpoint: Nothing left in "For Review"? Move on.*

⚖️ PHASE 5: Confirm Balances Match

1. Go to the **Bank Register** screen in QBO
2. Confirm the balance as of the statement ending date matches the bank statement
    - **Match** ✅ → move to Phase 6
    - **No match** ❌ → download a CSV from the bank, find the difference, upload missing transactions:
      Gear Icon → Import Data → follow the upload process
3. Add/Match any imported items; add anything unclear to Transaction Questions

✅ *Checkpoint: QBO balance = Bank Statement balance? Move on.*

🔁 PHASE 6: Run the Formal Reconciliation

1. Go to **Accounting → Reconcile** in QBO
2. Select the correct account

3. Enter the **statement ending balance** and **ending date**
4. Click **"Start Reconciling"** — work toward a **$0 difference**
5. Once you hit **$0**, check for any uncleared items:

Question	Action
Can it match a cash-coded item?	Unreconcile that item & match properly
Is it from the last few days of the month?	Check if it clears on next statement
Was it applied to the wrong account?	Correct the account
None of the above?	Add to Transaction Questions

⚠️ *Do NOT close the month with unexplained unreconciled items.*

✅ *Checkpoint: $0 difference, no unexplained items? Move on.*

📂 PHASE 7: Complete Balance Sheet Support in Double

1. Log into the client's bank account *(credentials in LastPass)*
2. Download the bank/credit card statement for the period
3. In Double, go to the **Balance Sheet Support** section
4. For each bank/CC account → upload the **bank statement and rec report** directly using the attachments button
5. Work through every balance sheet account that has a balance:
    - Confirm the balance is supported
    - Leave comments as needed to explain any balances
    - Check off each account when complete
6. Follow any specific instructions listed in the task descriptions

✅ *Checkpoint: Every balance sheet account confirmed, statements uploaded? Move on.*

⚠️ Every balance sheet account must have supporting documentation

---

🔍 PHASE 8: Complete Transaction Review in Double

Work through each report in the **Transaction Review** section:

Report	What to Do
Transactions Without Payees	Add a vendor to every transaction

Expense Inconsistency	Review each line — fix if wrong, thumbs up if correct, exclude if always multi-coded
Uncategorized Transactions	Clear out any items in uncategorized/AMA — explain in comments if needed
Transactions Coded to Parent Accounts	Fix if wrong, thumbs up if correct, exclude if always coded there
Large Transaction Check *(over $1,250)*	Check for prepaids or fixed assets — fix or thumbs up each item
Any other reports added by reviewer	Complete as instructed — ask reviewer if unclear

✅ *Checkpoint: All transaction review reports addressed? Move on.*

👥 PHASE 9: Complete Payee/Entity Review in Double

Report	What to Do
Newly Added Vendors	Confirm vendor info is entered correctly
Duplicate Vendors	Delete any duplicates
Duplicate Customers	Delete any duplicates
Prepare 1099s	Confirm if 1099s are needed and if info is on file
Newly Added Customers	Confirm customer info is entered correctly
Newly Added Accounts	Confirm accounts are set up properly and necessary

✅ *Checkpoint: All payee/entity reports addressed? Move on.*

📊 PHASE 10: Complete Final Review in Double

1. Go to the **Final Review** section in Double

2. On both the Balance Sheet and Income Statement, use the dropdown to select **"2 Months"** → click **"Re-Run"**

3. Look for accounts flagged with **green/red bubbles** — these have significant month-over-month variances

4. For each flagged account:

- Click the **triangle icon** to drill down to the vendor level
- Leave a **comment explaining the variance 5.** Complete any checklists or sign-offs included by your reviewer

6. Complete any additional tasks in the **Additional Items** section

⚠️ *Do NOT leave unanswered questions in Double — reach out to your reviewer via Slack instead.*

✅ *Checkpoint: All variances explained, all tasks complete? Move on.*

🏁 PHASE 11: Wrap Up & Hand Off

1. Do a final scan make sure nothing is missed

2. Update the status in the upper-right corner to **"Ready for Review"**

3. Send a message to your reviewer in the **internal Slack channel**

🎉 Done! Your Close is Ready for Review.

💡 **Quick Tips to Remember:**

- Code transactions every week — it makes month-end much easier
- Book payroll journal entries after each payroll run — don't wait until close
- Never close with unexplained unreconciled items
- When in doubt → add to Transaction Questions
- Escalate checks older than 60 days to the Controller
- No open questions in Double — use Slack for questions
- Every balance sheet account needs support
- Double syncs live with QBO — changes made in Double update QBO automatically

🏦 How to Reconcile a Bank & Credit Card

Training Guide

Why This Matters

Bank and credit card reconciliations are the foundation of accurate books. The goal is simple: confirm that every transaction in QBO matches what actually happened in the bank. If the books don't match the bank, nothing else on the financial statements can be trusted. A clean rec means clean financials.

📥 STEP 1: Download the Bank Statement

1. Log into the client's bank account *(credentials in LastPass)* **2.** Download the period-ending bank or credit card statement **3.** Note the **statement ending date** and **ending balance** — you'll need these later

💡 You'll upload this statement directly into Double in a later step — no need to save it to the Drive.

🏦 STEP 2: Review & Categorize Transactions in QBO

This is where you make sure every transaction that hit the bank is recorded and properly categorized in QBO.

1. Log into QBO → go to **Banking 2.** Select the correct account **3.** Work through every item under **"For Review":**

Action	When to Use
Match	QBO has suggested a match to an existing transaction — confirm it's correct, then accept
Add	No match exists — categorize the transaction using history and best judgment

Tips while reviewing:

- For check payments: log into the bank to view the check image to identify the vendor and proper category
- Create **bank rules** for any recurring transactions to save time in future months

- Use transaction history to see how similar items were coded before

4. For anything you can't figure out → add to the **Transaction Questions list:**

- Set "Who" = the vendor
- Set "What" = **Ask My Accountant 5.** Flag any uncleared checks older than **60 days** → escalate to Controller

✅ *Checkpoint: Nothing left in "For Review"? Move on.*

⚖️ STEP 3: Confirm the Balance Matches

Before running the formal reconciliation, do a quick sanity check.

1. Go to the **Bank Register** screen in QBO **2.** Find the balance as of the statement ending date **3.** Does it match the bank statement ending balance?

- **Yes** ✅ → move to Step 4
- **No** ❌ → investigate:
  - Download a CSV from the bank website
  - Compare to what's in QBO and find the difference
  - Upload any missing transactions: **Gear Icon → Import Data**
  - Add/Match imported items; add unclear items to Transaction Questions

✅ *Checkpoint: QBO balance = Bank Statement balance? Move on.*

🔁 STEP 4: Run the Formal Reconciliation

Now you'll officially reconcile the account in QBO.

1. Go to **Accounting → Reconcile 2.** Select the correct account **3.** Enter the **statement ending balance** and **ending date 4.** Click **"Start Reconciling" 5.** QBO will attempt to reach a **$0 difference** — work through any remaining items until you get there

If you have uncleared items after reaching $0, ask yourself:

Question	Action
Can it match a cash-coded item?	Unreconcile that item & match properly
Is it from the last few days of the month?	Check if it clears on next month's statement

Was it applied to the wrong account?	Correct the account
None of the above?	Add to Transaction Questions

⚠️ *Do NOT close the month with unexplained unreconciled items. Always have a reasonable explanation before closing.*

✅ *Checkpoint: $0 difference, no unexplained items? Move on.*

📂 STEP 5: Upload to Double & Wrap Up

1. In Double, go to the **Balance Sheet Support** section **2.** Find the bank or credit card account task **3.** Upload the **bank statement and reconciliation report** using the attachments button **4.** Leave any relevant comments on the account **5.** Check off the account as complete

---

🎉 Reconciliation Complete!

💡 **Quick Tips to Remember:**

- Always confirm the statement ending balance in QBO matches the actual bank statement before starting the formal rec
- Never close with unexplained unreconciled items
- When in doubt → Transaction Questions
- Bank rules are your best friend — set them up whenever you can

📅 How to Record a Prepaid & Tie Out a Prepaid Schedule

Training Guide

Why This Matters

A prepaid expense is a payment made today for something that hasn't been used yet — like paying a year of insurance upfront in January. If you expense the full amount immediately, your financials will be overstated in that month and understated in the months it was actually used. Prepaids ensure expenses are matched to the period they benefit, which is a core principle of accurate accounting.

📏 What Qualifies as a Prepaid?

Before recording anything as a prepaid, check against these thresholds:

Rule	Threshold
General minimum	$1,250 or more
Monthly recurring operating expenses *(e.g. rent)*	No minimum — always prepaid if paid in advance
Useful life	Must benefit more than one period

💡 The threshold can be set lower depending on the size of the client. When in doubt, check the client's one sheeter or ask your reviewer.

📥 STEP 1: Identify the Prepaid

When coding transactions during your weekly review or month-end close, watch for:

- Large one-time payments to insurance, software, or service vendors
- Payments that cover multiple future months
- Any transaction over $1,250 that doesn't look like a normal operating expense

1. When you spot a potential prepaid, locate the associated **bill or invoice** if possible **2.** If unavailable, reach out to the client to confirm the **time period the payment covers 3.** Confirm the start and end dates of the prepaid period

✅ *Checkpoint: Do you know the full prepaid period? Move on.*

📒 STEP 2: Record the Prepaid in QBO

Instead of expensing the full amount, you'll record it as an asset first.

1. In QBO, code the transaction to the **Prepaid Expenses** account on the balance sheet *(not an expense account)* **2.** Make sure the vendor, date, and amount are correct

💡 Think of it this way: you paid for something you haven't used yet, so it's still an asset — not an expense. Each month, as you "use" it, you'll move a portion from the asset account to the expense account.

✅ *Checkpoint: Transaction coded to Prepaid Expenses on the balance sheet? Move on.*

📊 STEP 3: Build or Update the Prepaid Schedule

Every prepaid must be tracked on a prepaid expense schedule. This schedule lives in the client's supporting documents and should be updated every month.

1. Open the **Prepaid Expenses Template** for the client

2. Add a new line for the prepaid with:

- Vendor name
- Total amount paid
- Start date and end date of the prepaid period
- Monthly amortization amount *(total ÷ number of months)* **3.** Confirm the schedule **amortizes to $0** by the end of the prepaid period — make sure the dates go out far enough into the future **4.** Confirm the **ending balance on the schedule ties to the Prepaid Expenses balance on the Balance Sheet**

💡 Example: You pay $12,000 for an annual insurance policy starting January 1. That's $1,000/month for 12 months. Each month you expense $1,000 and reduce the prepaid asset by $1,000 until it hits $0 in December.

✅ *Checkpoint: Schedule updated, amortizes to $0, ties to balance sheet? Move on.*

🔄 STEP 4: Book the Monthly Amortization Entry

Each month, you'll move the current month's portion from the Prepaid asset to the appropriate expense account.

1. In QBO, create a **journal entry** dated the last day of the month:

- **Debit** the appropriate expense account *(e.g. Insurance Expense)*
- **Credit** Prepaid Expenses
- Amount = the monthly amortization amount from the schedule **2.** Confirm the Prepaid Expenses balance on the Balance Sheet has decreased by that amount

💡 If you set this up as a **recurring journal entry** in QBO, it will book automatically each month — saving you time!

✅ *Checkpoint: Amortization entry booked, balance sheet updated? Move on.*

📂 STEP 5: Tie Out in Double & Wrap Up

1. In Double, go to the **Balance Sheet Support** section **2.** Find the Prepaid Expenses account task **3.** Confirm the balance in Double matches the balance on your prepaid schedule **4.** Upload or link the prepaid schedule using the attachments button or description link **5.** Leave a comment if anything needs explanation **6.** Check off the account as complete

---

🎉 Prepaid Complete!

💡 **Quick Tips to Remember:**

- If you're unsure whether something is a prepaid, check the threshold and ask your reviewer
- Always locate the invoice to confirm the prepaid period — don't guess
- **The schedule must always tie to the balance sheet — if it doesn't, find out why**
- Every prepaid must eventually amortize to $0 — if it doesn't, something is wrong

🏗️ How to Record a Fixed Asset & Tie Out a Fixed Asset Schedule

Training Guide

Why This Matters

When a business buys something expensive that will last more than a year — like equipment, furniture, or a vehicle — you don't expense the full cost upfront. Instead, you spread the cost over the asset's useful life through depreciation. This matches the expense to the periods the asset is actually being used, giving a more accurate picture of the business's financial performance.

📏 What Qualifies as a Fixed Asset?

Before capitalizing anything, check these criteria:

Criteria	Requirement
Minimum cost threshold	$2,500 or more *(IRS threshold)*
Owned by the company	Used to generate income
Useful life	Greater than one year
Computer assets	Only recognized as of 9/1/2019 or later

💡 Client-specific minimums can be set lower if the client requests it. Always check the client's one sheeter.

🔍 STEP 1: Identify the Fixed Asset

During your weekly transaction review or month-end close, the **Large Transaction Check** report in Double will flag any transaction over $1,250. For anything over $2,500:

1. Investigate the purpose of the purchase **2.** Determine if the useful life is greater than one year

- **Yes** → capitalize it as a fixed asset *(continue to Step 2)*
- **No** → expense it normally

  💡 Examples of fixed assets: computers, furniture, machinery, vehicles, leasehold improvements. Examples of non-fixed assets: office supplies, small tools, software subscriptions.

✅ *Checkpoint: Confirmed the purchase qualifies as a fixed asset? Move on.*

📒 STEP 2: Record the Fixed Asset in QBO

1. In QBO, code the transaction to the appropriate **Fixed Asset account** on the balance sheet *(not an expense account)*

- Examples: *Furniture & Fixtures, Computer Equipment, Machinery & Equipment* **2.** Make sure the vendor, date, and amount are correct

✅ *Checkpoint: Transaction coded to the correct fixed asset account? Move on.*

📊 STEP 3: Add to the Fixed Asset Schedule

Every fixed asset must be tracked on the fixed asset schedule. This is how you know what the company owns, how much it cost, and how much has been depreciated.

1. Open the **Fixed Asset Schedule** for the client **2.** Add a new line for the asset with:

- Asset description
- Purchase date
- Original cost
- Asset category *(to determine useful life)*
- Useful life *(refer to the Useful Life Table for standards by asset type)* **3.** Calculate **straight-line depreciation** using the **mid-month convention:**
- No matter when in the month the asset was purchased, assume it was purchased mid-month
- Formula: *Monthly Depreciation = Cost ÷ (Useful Life in Years × 12)*

- The first and last months will each be a **half-month entry 4.** Confirm the schedule ties to the **Fixed Asset balance and Accumulated Depreciation balance** on the Balance Sheet

  💡 Example: A $6,000 computer purchased on March 15 with a 3-year useful life. Monthly depreciation = $6,000 ÷ 36 = $166.67/month March entry = $83.34 *(half month)* April through February = $166.67/month Final month = $83.34 *(half month)*

✅ *Checkpoint: Asset added to schedule, depreciation calculated, ties to balance sheet? Move on.*

🔄 STEP 4: Set Up & Book Depreciation Entries

1. In QBO, set up a **recurring journal entry** for depreciation:

- **Debit** Depreciation Expense
- **Credit** Accumulated Depreciation
- Amount = monthly depreciation from the schedule **2.** Set up a separate **half-month entry** for the first and last months of the asset's life **3.** Confirm depreciation is being recorded each month

  💡 Depreciation is recorded on a **quarterly basis at minimum**, but setting up recurring entries monthly keeps things clean and avoids large quarterly catch-ups.

✅ *Checkpoint: Recurring depreciation entries set up in QBO? Move on.*

🗑️ STEP 5: Recording a Disposal *(if applicable)*

If an asset is sold, scrapped, or otherwise disposed of:

1. Record the disposal date on the fixed asset schedule **2.** Ensure the **net book value = $0** after the final depreciation entry **3.** Remove the asset from the active portion of the schedule **4.** Record any gain or loss on disposal in QBO if applicable

---

📂 STEP 6: Tie Out in Double & Wrap Up

1. In Double, go to the **Balance Sheet Support** section **2.** Find the Fixed Assets and Accumulated Depreciation account tasks **3.** Confirm the balances in Double match your fixed asset schedule **4.** Upload or link the fixed asset schedule using the attachments button or description link **5.** Leave a comment if anything needs explanation **6.** Check off the accounts as complete

---

🎉 Fixed Asset Complete!

💡 **Quick Tips to Remember:**

- Any purchase over $2,500 should be investigated — don't just expense it without checking
- Always use mid-month convention for depreciation, even if the asset was bought on the 1st or 31st
- The fixed asset schedule must always tie to both the Fixed Asset balance AND Accumulated Depreciation on the balance sheet
- Set up recurring journal entries in QBO to automate monthly depreciation
- Net book value must equal $0 by the end of the asset's useful life

🏥 How to Reconcile 401(k) & Health Insurance Clearing Accounts

Training Guide

Why This Matters

Clearing accounts are temporary holding accounts used to match cash transactions to their corresponding journal entries. For 401(k) and health insurance, cash disbursements hit the bank before all the details are fully recorded — the clearing account bridges that gap. The most important rule: **these accounts should always clear to $0 at month-end.** A non-zero balance means something wasn't recorded properly or a payment is unaccounted for.

🧠 How Clearing Accounts Work

Think of a clearing account like a waiting room. When a 401(k) or health insurance payment leaves the bank, it temporarily "waits" in the clearing account. Once you've matched it to the corresponding payroll or benefits journal entry, the account empties out. If the waiting room still has people in it at month-end, that's a problem.

> 💡 **401(k) clearing accounts should always clear to $0.** If they don't, it should be remedied immediately. Health insurance clearing accounts follow the same rule — a non-zero balance always requires explanation and a documented plan agreed upon with the Controller.

🔍 STEP 1: Identify the Clearing Account Transactions

During your bank reconciliation, you'll see 401(k) and health insurance payments come through the bank feed.

1. In QBO, when you see a 401(k) or health insurance disbursement in the **Banking → For Review** screen:

- Code it to the appropriate **clearing account** *(e.g. 401(k) Clearing, Health Insurance Clearing)*
- Do **not** code directly to an expense account at this stage **2.** Confirm the amount and date match what you see in the payroll or benefits report

✅ *Checkpoint: Disbursements coded to the clearing account? Move on.*

📊 STEP 2: Book the Offsetting Journal Entry

The clearing account only clears when you book the matching journal entry that records the actual expense.

For 401(k): 1. Pull the 401(k) contribution report from the payroll provider *(e.g. Gusto)* **2.** Book a journal entry:

- **Debit** 401(k) Expense *(or applicable payroll expense account)*
- **Credit** 401(k) Clearing Account
- Amount = total 401(k) contributions for the period **3.** Confirm the entry matches the disbursement amount exactly

For Health Insurance: 1. Pull the health insurance invoice or benefits report **2.** Book a journal entry:

- **Debit** Health Insurance Expense *(or applicable benefits expense account)*
- **Credit** Health Insurance Clearing Account
- Amount = total health insurance premium for the period **3.** Confirm the entry matches the disbursement amount exactly

> 💡 These journal entries are often set up as **recurring entries** in QBO if the amounts are consistent month to month — check if that's already in place for your client before manually booking.

✅ *Checkpoint: Journal entries booked and match the disbursements? Move on.*

⚖️ STEP 3: Confirm the Clearing Account Balances to $0

1. In QBO, pull up the **account register** for the 401(k) Clearing and Health Insurance Clearing accounts **2.** Confirm the ending balance as of month-end is **$0 3.** If the balance is **not $0:**

Scenario	Action
An entry is missing	Find the missing journal entry and book it

Amounts don't match	Investigate the discrepancy between the bank payment and the report
Timing difference	Document the reason and confirm it will clear in the following month
Unexplained balance	Escalate to Controller immediately — **401(k) balances must always be resolved**

⚠️ *Never leave a 401(k) clearing account with an unexplained balance. It must be resolved before closing.*

✅ *Checkpoint: Both clearing accounts at $0 with no unexplained balances? Move on.*

📂 STEP 4: Tie Out in Double & Wrap Up

1. In Double, go to the **Balance Sheet Support** section **2.** Find the 401(k) Clearing and Health Insurance Clearing account tasks **3.** Confirm the balances shown in Double are $0 **4.** Leave a comment documenting:

- That both accounts cleared to $0
- Any timing items if applicable, with an expected clear date **5.** Check off the accounts as complete

---

🎉 Clearing Accounts Complete!

💡 **Quick Tips to Remember:**

- Clearing accounts are just a bridge — they should always be empty at month-end
- 401(k) balances must **always** clear to $0 — escalate immediately if they don't
- Always match disbursements to the payroll/benefits report before booking the journal entry
- If recurring journal entries are already set up, confirm they're still accurate before the close
- Any non-zero balance needs a documented explanation and a plan — agreed upon with the Controller

Upsourced Accounting Manual

UPSOURCED

Table of Contents

Assets **4**
- Bank Reconciliations,Expense Coding & Transaction Questions 4
- Bank Access & Check Images 6
- Clearing Accounts 7
- Prepaid Expenses 8
- Invoicing & Accounts Receivable 9
- Fixed Assets 10
- Intangible Assets 11
  - Capitalized Software 11
  - Startup Costs 11

Liabilities **12**

Equity **13**

Income Statement **14**

Accounting Processes

Assets

Bank Reconciliations

Process for Xero:

1) Log into the client's bank account (info should be in LastPass) and download the period-ending bank or credit card statement. Save this statement to the client's drive under the appropriate month's folder. Create monthly folders as necessary.
    a) Naming Convention for Documents should be "Client Bank Account type "x" last four digits of account number two digit month. Two digit day. Four digit year" e.g. Upsourced Chase Checking x0001 05.31.2024
    b) The rec report for the account should just add rec report to the end of the name of the statement
2) Update the client's Bank Reconciliation spreadsheet with the bank balance as of the period-end date.
3) Log into Xero & go to the Bank Account screen; choose the appropriate account to reconcile.
4) Confirm that all transactions for the month are captured in Xero.
    a) Click on "Manage Account" in the upper right corner, and choose "Reconciliation Report."

    b) Ensure that the start and end dates for the reconciliation report match the dates on the bank statement; click "Update."
    c) Confirm that the statement ending balance showing in Xero matches the statement ending balance on the official bank statement.
        i) You will likely have many unreconciled bank statement lines in Xero at this point; this is okay; we are just confirming balances at this point.

26 Aug 2019	DEPOSIT	127.75
26 Aug 2019	DEPOSIT	18.00
Total Un-Reconciled Statement Lines		**9,410.09**
31 Aug 2019	**Statement Balance**	**57,418.44**

d) If the Xero statement balance does not match the bank statement balance:
   i) Download a csv file from the bank website & investigate differences;
   ii) Upload a csv file of any transactions not in Xero into Xero.

5) In the Reconcile screen, reconcile all transactions.
   a) Match to deposits, payments or receipts when appropriate.
   b) For check payments, log into the bank to view check images & determine vendor and appropriate categorization.
   c) Create & use bank rules whenever possible.
   d) Utilize history to help determine how to code/categorize items, but also use your best judgment.
   e) Confirm that no items are booked to the Ask My Accountant GL account by the client; recategorize if any exist.
   f) Provide the client with a list of transaction questions for items needing clarification/additional info.
   g) Link to Transaction Question/Unanswered Question Process summary below:
      i) Transaction questions transactions should have their Who filled out and their What set to "Ask My Accountant"
      ii) Doing this ensures that the account can be reconciled as above without line items outstanding
   h) Transaction Questions Template

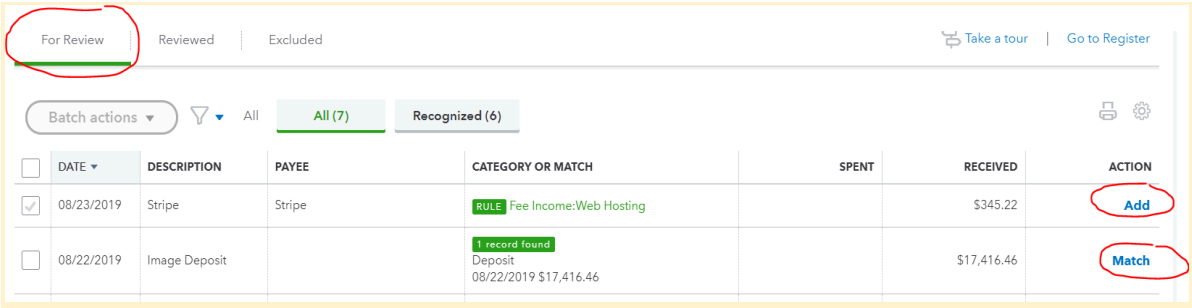
6) When all available lines are reconciled for the month, go back to the Reconciliation Report and confirm there are no unreconciled items. If any exist:
   a) Investigate if the item can be applied to another item that was cash-coded; if so, unreconcile cash-coded item & match to appropriate item.

b) If the item is recorded on the last few days of the month, look at the bank activity for the next month to determine if the item will be cleared on the next bank statement.
c) Determine if the item was incorrectly applied to the wrong bank account.
d) If no results from the above, add the item to the list of transaction questions for the client.
e) Escalate any uncleared checks that are older than 60 days to the Controller to address with the client. An uncleared check report will be provided with the monthly close packet.
f) Do not close the month with unreconciled items remaining without a reasonable explanation. Accountant & Controller will review any unreconciled items & agree on reasonableness.

7) Run a final Reconciliation Report, and confirm the Xero balance matches the bank statement balance with no unexplained unreconciled items; add the Xero balance to the Bank Reconciliation spreadsheet for the client and confirm the difference is $0.
8) Include the bank statement and reconciliation report in the client's month-end close packet.

Process for QuickBooks Online:

1) Log into the client's bank account (info should be in LastPass) and download the period-ending bank or credit card statement. Save this statement to the client's drive under the appropriate month's folder. Create monthly folders as necessary.
    a) Naming Convention for Documents should be "Client Bank Account type "x" last four digits of account number two digit month. Two digit day. Four digit year" e.g. Upsourced Chase Checking x0001 05.31.2024
    b) The rec report for the account should just add rec report to the end of the name of the statement
2) Log into QBO & go to the Banking screen; choose the appropriate account.
3) Work through all line items available for "Review":
    a) Match items after confirming that the Match suggested by QBO is accurate.
    b) Add items: Utilize history to help determine how to code/categorize items, but also use your best judgment.

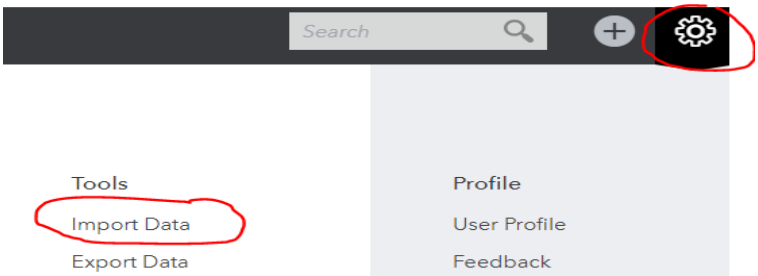


c) For check payments, log into the bank to view check images & determine vendor and appropriate categorization.
d) Create & use bank rules whenever possible.
e) Provide the client with a list of transaction questions for items needing clarification/additional info.
f) Escalate any uncleared checks that are older than 60 days to the Controller to address with the client. An uncleared check report will be provided with the monthly close packet.

4) Link to Transaction Question/Unanswered Question Process summary below:
   a) Transaction questions transactions should have their Who filled out and their What set to "Ask My Accountant"
   b) Doing this ensures that the account can be reconciled as above without line items outstanding
   c) Transaction Questions Template

5) Once all items for Review have been Added or Matched, go to the Bank Register screen.
6) Confirm that the balance showing as of the bank statement ending date is the same as the balance in QBO.
7) If the QBO balance does not match the bank statement balance:
   a) Download a csv file from the bank website & investigate differences;
   b) Upload a csv file of any transactions not in QBO into QBO by clicking on the gear icon and choosing "Import Data."

Uploading Transactions to QBO from CSV File



8) Add/Match any imported items; add to Transaction Questions if necessary.
9) When all available lines are reconciled for the month and balances match, go to the Reconciliation screen (Accounting > Reconcile Account).
   a) Choose the appropriate account to reconcile.
   b) Enter bank statement balance and ending date.

   c) Click “Start Reconciling.”

10) QuickBooks will automatically attempt to reconcile the account to a $0 difference. If a difference does exist, investigate where the discrepancy is.
11) Once the Reconciliation screen shows a difference of $0, review the reconciliation report to confirm there are no uncleared items as of the statement ending date. If any exist:
    a) Investigate if the item can be applied to another item that was cash-coded; if so, unreconcile cash-coded item & match to appropriate item.
    b) If the item is recorded on the last few days of the month, look at the bank activity for the next month to determine if the item will be cleared on the next bank statement.
    c) Determine if the item was incorrectly applied to the wrong bank account.
    d) If no results from the above, add the item to the list of transaction questions for the client.
    e) **Do not close the month with unreconciled items remaining without a reasonable explanation.**

12) Run a final Reconciliation Report, and confirm the QuickBooks balance matches the bank statement balance with no unexplained uncleared items; add the QBO balance to the Bank Reconciliation spreadsheet for the client and confirm the difference is $0.
13) Include the bank statement and reconciliation report in the client’s month-end close packet.

Bank Access & Check Images

1) Upsourced Accounting's onboarding department will obtain bank access information from the client during onboarding and add information to LastPass.
2) If activity in current accounts shows any new accounts might exist, Accountants will work with client & Controller to understand the activity & gain access to any relevant accounts.
3) If any new accounts have been added by the client, Accountant will work with the client to obtain access to the new accounts and will add the info to LastPass.
4) Accountants will connect any new bank accounts to auto-sync to the accounting software.
5) Accountants will log into clients to obtain bank statements and bank csv files as needed.
6) Accountants will obtain check images when accessible to determine vendors during the bank reconciliation process.

Clearing Accounts

Process:

1) When to Use/When Not to Use
    a) Clearing accounts are to be used when a deposit or disbursement must be matched to a journal entry from an offline system. Examples:
        i) When reconciling many Stripe deposits to an aggregate report of Stripe deposits at month-end.
        ii) When reconciling several payroll disbursements to an offline payroll vendor report at period-end.
2) In most cases, the clearing account balance should be zero at period end.
3) When a business case exists for which the clearing account balance should not be 0 (e.g. there's a delay in timing between Stripe sales and Stripe deposits), Controller & Accountant will jointly develop an expectation of end of period balance (e.g. 3 days worth of prior month sales). The accountant should be able to point to when the account clears in the following month. This will be discussed either during onboarding of the client or during process creation at a later date if relevant.
4) **There are minimal exceptions to an account not clearing. The accountant/sr accountant/controller should all agree that this is acceptable and the client should also be in agreement/aware**
5) Undeposited Funds (QBO) will **only** be used if a client has multiple cash accounts

that they deposit funds into and a process is impractical to develop to match.

How to Reconcile:

1) Accountant to record deposit or disbursement of individual transactions to the associated clearing account (e.g. Stripe clearing account) from the reconcile screen.
2) Accountant to record journal entry of associated transactions related to clearing account at period end (e.g. Stripe sales)
3) Accountant to review clearing account balance at period end.
4) If the clearing account balance is expected to be $0, Accountant to review and resolve any non-zero balances
5) If the clearing account balance is expected to be non-zero (e.g. Stripe timing balance), Accountant to book an auto-reversing journal entry to eliminate clearing account balance and book accrued revenue on a monthly basis.
6) Accountant then reviews and confirms the accrued balance is at or below the established threshold.
7) If the balance is in excess of threshold, Accountant to prepare a schedule for outstanding balance.
8) Regardless of balance, the Accountant must provide support for the balance in the account at the end of month.
9) Support will be part of the monthly close packet.

Prepaid Expenses

1) An item is considered a prepaid expense if it is a future expense paid in advance.
2) Upsourced Accounting's minimum threshold for considering an item as a prepaid is $1,250.
    a) This threshold can be lower depending on the size of the client and materiality.
    b) Monthly recurring operating expenses = no minimum threshold (e.g. rent)
3) Upsourced will amortize the expense until it is reduced to zero over the time period given.
    a) We will locate the bill associated with the expense if possible.
    b) If unavailable, we will ask the client to confirm the time period of the expense.
4) We will ALWAYS create and update monthly a prepaid expense schedule that we will tie into the prepaid balance on the Balance Sheet as of month-end.
5) The prepaid schedule will be part of the monthly client close packet.
6) Make sure the dates on the prepaid amortization schedule go out sufficiently far into the future so the check value is $0.

PREPAID EXPENSES TEMPLATE

Accounts Receivable

Process:

1) When an invoice payment is received a couple paths may be options depending on the client. If there are questions discuss with the internal team:
    a) If client marks payments:
        i) If Upsourced reconciles payments weekly the payment will be matched in the accounting software that day of the week
        ii) Otherwise the payment will be matched during the month end close process
    b) If Upsourced marks payments weekly payments should be marked and matched on the weekly cadence, otherwise it will be during the month end close process
2) During the bank reconciliation, bank deposits are matched to payments recorded.
    a) Dates of deposits will be verified as reasonable during the process.

3) For deposits that match an “unpaid” A/R item (payment not entered by client or the payment info was not otherwise supplied) and are, without reasonable doubt, related to the unpaid A/R, accountant to make the match (e.g. amount of $3,429.87). Accountant to notify Controller so that client is reminded to mark payments in the accounting system.
4) If a deposit matches an unpaid A/R item but we are not certain, without reasonable doubt, that they are related or if a deposit does not match a payment or an unpaid A/R item, Accountant will add the item to transaction questions.
5) Any deposits that were entered by the client and not matched to a deposit will be discovered in the bank reconciliation review process; these items will be added to the transaction questions.
6) The period will not be closed until all deposits are understood & accurate.

AFDA & Write-Offs:

1) The Accountant will provide an aged A/R report as part of the quarterly close packet.
2) On a set frequency, often quarterly basis, the Controller will discuss aged A/R items with the client.
3) For any item over 90 days, the Controller will specifically inquire about collectibility.
4) If the client believes “uncollectible,” Accountant to issue a credit note.
5) If a client believes an item is “collectible,” no reserve is necessary.
6) When creating a credit note, the Accountant will apply a credit note to the uncollectible A/R and record debit to “bad debt expense.”
7) If a payment is ultimately received on an A/R item for which a credit note has already been applied, Accountant will record payment as a credit to bad debt expense.

Fixed Assets

1) Physical assets purchased for long-term use, which are not likely to be converted quickly into cash.
2) Asset is owned by the company & used to generate income.

3) Our threshold for consideration as a fixed asset is $2,500 this is the IRS Threshold.
    a) Client-specific minimums can be set if the client requests.
    b) Computer assets will only be recognized as of 9.1.2019 and on.
4) Useful life of an asset is greater than one year.
    a) To correctly match expenses with revenue & to recognize that the asset will be in use for more than one year, we calculate & expense the total amount of the fixed asset over a specified number of years, known as the useful life of the asset.
    b) Link to useful life table
5) If there are any fixed assets on the balance sheet, the balance should tie to a schedule along with the accumulated depreciation.

Fixed Asset Schedule TemplFixed Asset Useful Life Tableate

Process:

1) For any purchase over $2,500 (or other threshold as agreed above), the Accountant will investigate to understand the purpose.
2) If the useful life is determined to be greater than 1 year, capitalize the asset.
3) If it is to be capitalized, debit the appropriate fixed asset account.
4) Add the fixed asset to the fixed asset ledger and select the appropriate useful life from the standards based on asset type.
    a) Note: Controllers/Accountants will need to work together to locate ledgers for assets booked prior to our engagement with clients.
5) Calculate straight-line depreciation over the uselife life using mid-month convention.
    a) No matter when you purchase a fixed asset in a month, assume that it was purchased in the middle of the month for depreciation purposes.
6) Record depreciation expense and reconcile accumulated depreciation from the balance sheet to the fixed asset ledger on a quarterly basis.
    a) The Accountant will set up recurring journal entries for depreciation, with a half-month entry set up for the first and last months.
7) Record disposal information if relevant and ensure net book value equals $0.
8) Fixed Asset ledger will be included in the close packet.

Intangible Assets

Startup Costs

1) For GAAP accounting purposes, startup costs are expensed as incurred.
2) Determination of capitalization and amortization for tax purposes: This is managed by the tax firm in their sole determination and any difference will be recorded in accordance with the book to tax differences.

Capitalized Software (Unlikely)

1) Determine whether a client is engaging in capitalizable software development.
2) At onboarding, discuss with the client the concept of capitalized development and the concept of epics / releases.
    a) Epic / release = a set of features or stories that comprise a larger set of functionality.
    b) Determination is made on a judgmental basis with the client.
    c) Rule of thumb: 3-5 epics per year.
    d) Time threshold: Useful greater than 3 months
3) Controller to determine, for that/those epic(s), what percentage of labor and hard costs were associated with those epics & share this information with Accountant prior to the quarterly close.
4) Accountant to document epics and associated costs into capitalized software spreadsheets.
5) Once released, Accountant to amortize costs associated with each epic over a 3-year period.
6) On a quarterly basis, the Accountant will book capitalized assets and amortization expenses.
7) Link to template

Liabilities

ALL LIABILITIES ON THE BALANCE SHEET SHOULD TIE TO A SCHEDULE

Payroll Accruals

1) Wages & Taxes
    a) The Accountant determines through analysis of payroll reports if a month-end accrual is relevant.
    b) If accruing, Accountant pulls payroll reports for the period after the month ends & calculates accrual of wages/taxes based on the number of days actually worked in the closing period.
        i) The above calculation is captured in a template and linked in the monthly close doc
        ii) If the client's payroll period ends after the closing date, Accountant & Controller will agree on a reasonable estimate to use in these instances.
    c) Accrual journal entry is booked by Accountant as of the last day of the month, with an auto-reversing entry on the first day of the next month.

Payroll Accrual Template

2) Incentive Compensation
    a) Controller/Accountant to determine at onboarding if incentive comp is relevant.
    b) If relevant, Controller to obtain incentive comp plan from the client.
    c) Controller/Accountant to co-develop a process for a reasonable but rough monthly estimate.
    d) Accountant to accrue against above estimate monthly.
        i) The Accountant will create a distinct GL line for incentive compensation.
    e) Accountant to record any payments on the accrual as they occur.
    f) After each payment, Accountant to true up the accrual (likely to $0); any significant balance should be discussed between the Controller/Accountant & escalated to client if necessary.
    g) Regardless of balance, the Controller should review outstanding balance with the client on a quarterly basis.

h) Any incentive comp accrual amount will be included on the monthly accrued expenses ledger.

Commission Template
Accrued Bonus Template
Accrued Bonus Semi Annual Bucket Template

3) Vacation & Other Benefits
   a) Unless requested by the client, our default policy is not to accrue vacation/fringe benefits.

4) Reconciliation
   a) Integrated payroll (e.g. Gusto):
      i) Sync payroll.
      ii) Ensure dates are correct for the month.
      iii) Reconcile payments against synced invoice.

   b) Non-integrated payroll:
      i) Payroll transactions are initially booked to payroll clearing accounts during the bank rec process.
      ii) The Accountant will access payroll reports for the month & create one journal entry to book payroll expenses or journal entries tying into each pay date if preferred.
      iii) Accountant will ensure that the month-end balance in the payroll clearing account = $0.
         (1) In rare instances, if a company is writing physical checks for payroll, there may be a balance; the Accountant will tie outstanding checks into any balance.
      iv) Note: Accrued payroll balance should never be booked to a payroll clearing account.

ADP Payroll Template
Other ADP Payroll Template
Other Template

REVENUE:

Revenue templates can be retrieved from the Templates folder. All members of a project team should agree upon what type of revenue a client needs. Then go forward from there to get a template and build out a revenue process.

The basic types of Revenue Recognition at Upsourced are:

- Cash Basis - recognizing invoices as revenue in the period they are invoiced
- Invoicing Basis - the step up from cash. This is accruing or deferring revenue on an invoice by invoice basis.
- Project Revenue Basis - the honors program of revenue recognition. This is subdivided into % completion and other. Requires far more inputs and client coordination.

1) Revenue schedule will be provided as part of the monthly close packet.

Due To's/Due From's

1) Expectations for the usage of these accounts should be set with the client.
    a) Clients should limit Due To/From items to transfers of cash between entities.
    b) No entity should make purchases on behalf of another entity.
        i) If a client wants to do the above, it should be discussed in advance with Upsourced.
        ii) Clients will be responsible for providing information on any purchase made for another entity at the time the purchase occurs.
2) Accountant will record Due To/From's as part of the month-end close.
3) Accountant will ensure a month-end reconciliation of the Due To/From's on the Balance Sheet of the 2 separate entities.

Loans & Leases

1) At onboarding, Controller to determine whether any outstanding loans or leases exist, and if so, obtain a debt schedule/loan/lease agreement for each & provide documentation to the Accounting team.

2) If during the course of engagement with Upsourced, additional debt is created, Controller to obtain debt schedule/loan/lease agreement and provide it to Accountant.
3) Accountant to prepare a loan or lease amortization schedule based on documentation provided by the client.
    a) Compound Interest (EIDL's - interest rate is 3.75%)
    b) Simple Interest
4) Accountant to create relevant journal entries to capture items within the accounting system.

Income Statement

COGS Classifications

1) At onboarding, Accountant/Controller to determine what costs, if any, should be included within COGS.
2) In order to accurately capture COGS, the Controllers will work with the client to determine a process that will be used for the client to provide Upsourced with the relevant info; Controller will communicate this process to the Accounting team.
    a) This process will include categorization of items/vendors.
    b) This process will include how to treat reimbursable expenses.
3) For agencies, common COGS categories would include:
    a) direct labor
    b) out-of-pocket project costs
    c) software costs specific for a singular client project (e.g. web domain, web template)
4) For software companies, common COGS categories would include:
    a) support labor
    b) support out-of-pocket costs
    c) hosting costs
    d) direct implementation costs (e.g. labor or out-of-pocket)

Owner Draws vs. Company Expense

1) Client funds should not overlap with company funds.
2) Owner draws should only be cash disbursements to owners.
3) For pass-through entities, estimated tax payments are considered owner draws.

Review

1) Self Review by Accountant
    a) Prepare a review package for reviewer
    b) Follow Accounting Review Checklist

2) Final Accounting Review
    a) Monthly, review the review package
    b) Monthly, assess the Balance Sheet for reasonableness
    c) Monthly, assess the Income Statement for anomalies
    d) Accounting Review Checklist

3) Controller Review
    a) Monthly, review the review package
    b) Monthly, assess the Balance Sheet for reasonableness
    c) Monthly, assess the Income Statement for anomalies